EIGT Preview

Section 1

Estate, Inheritances, and Gift Taxes (EIG)

1.1 Introduction to the Estate, Inheritances, and Gift Taxes Section

This chapter introduces the reader to the data structure of the EIG section, as well as the general interpretation and construction of each concept. The Estate, Inheritance, and Gift Tax (EIG) section of the GC Wealth Project provides a comprehensive data collection on wealth transfer taxes across countries and over time. The EIG section compiles tax policy information as well as tax revenue data. The section contains information about EIG taxes for over 200 countries (202 countries and 52 U.S. states), in some instances dating back as far as the 18th century. The EIG section codifies and harmonizes information on common features, such as introduction and repeal dates, top tax rates, personal tax exemptions, number of brackets, full tax schedules, tax revenues, information on exempted assets, and heterogeneous tax treatment by degree of kinship. Information is obtained from academic, government, and corporate research, government legislation and legislative information, as well as cross-national research and official statistics. Table 1.1 below reports a comparison of the information available in the dataset with respect to other sources:

1.2 Data Structure and Interpretation

Downloaded data is provided in long format. All information in the data is sorted by a country's two-letter ISO code (`GEO`), or its full name (`GEO_long`) and `year`. The combination of `GEO-year` and `varcode` identifies univocally the value corresponding to a given information specified by the varcode for that GEO-year (see Table 1.6 for an example).

1.2.1 General assumption

To enhance cross-country comparability, we assume that tax treatment applies to taxable asset transfers, assuming no additional circumstantial deductions, reliefs, or credits apply unless otherwise specified in the Note variable[1]. Moreover, in the main variables we do not take into account any additional mitigating factors – like higher exemptions or lower rates for minors or disabled children, while citing those in the Note.

[1] When relevant, we use the rates for the statutory shares (e.g., Luxembourg). If an inheritance tax is levied, but the exemption is based on the entire estate (e.g. in Japan), we specify it in the Note.

Table 1.1: Comparison of different taxation databases

Feature	Scheve and Stasavage (2012)	Seelkopf et al. (2021)	Genschel et al. (2023)	OECD (2021)	Our new database
Time Coverage	1816-2000	1750-2018	1880-2015	2015	1759-2025
Country Coverage	19 'core'	220	87	28 (OECD)	202
Top marginal tax rates	Y	Partial	N	Y	Y
Exemption Threshold	N	N	N	Y	Y
Full tax schedule	N	N	N	Partial	Y
Tax revenue	N	N	Partial	Y	Y
Introduction & repeal dates	N	Partial	Y	Partial	Y
EIG tax status	N	N	Y	Y	Y
Separate information about EIG taxes	N	N	N	Y	Y
Sub-national tax features	N	N	N	Partial	Partial
Detailed information on exempted assets	N	N	N	Y	Partial
Information on relationship-based tax features	N	N	N	Y	Y

Since tax reforms can be approved any time in a year, we follow the general rule of applying the reform from the year in which it is approved. However, if the law clearly specifies the starting date, then we follow the timing established by law. For example, Sweden unified inheritance and gift tax was abolished in 2004, but the law clarifies it applies to transfer after 31 December 2004 and death-transfers after 17 December 2004; therefore, the database reports no tax for Sweden from 2005 onwards.

The data warehouse includes sub-national information about the U.S. states, harmonized and included directly in the data. For the U.S. states, while the status variable is related to each single state, all the other main variables (e.g., top marginal tax rate, exemption threshold) are reported considering the interaction between state and federal-level taxation (details in section 1.3). It follows that if some States (e.g., Alabama, Arizona, South Carolina) do not levy any EIG tax, then they have a corresponding status 0 (No) in the data, but reporting the positive federal top marginal tax rate and exemption threshold.

Additional subnational information for other countries is available in the Note. When a country-level EIG tax is not levied, but there are different regional tax schemes (e.g., Belgium, Switzerland, Brazil, and Canada), we report the national/federal information and detail in the Note if a subnational taxation is enforced, together with possible other information about the regional taxation rules. For countries with a colonial history that introduced a tax during the colonial period - thereby applying the tax of the mother country - the first year of introduction used is the year of independence if the new-born state retained the tax, and we specify in the Note when the tax was in effect during the colonial period.

To guarantee harmonization and comparability over time, all monetary values (e.g. exemption thresholds, tax brackets, tax revenues) are converted in the local currency unit in force in 2025 as reported in the World Inequality Database.

There are cases in which wealth transfers are taxed through taxes different than EIG taxes (e.g. through the personal income tax); in these cases, we report that there is no EIG tax for the relevant wealth transfer – i.e. status = 0 – and use a dedicated variable indicating whether the wealth transfer is taxed through a different type of tax (if available, we specify which type of tax in the Note). For example, since 2014 the gift tax in Czech Republic is included in the personal income tax. Therefore, the gift tax status equals 0, the different_tax variable is equal to 1, and the Note variable reports the corresponding additional details. Table 1.2 reports the countries and years for which a different tax applies in the database.

Table 1.2: Countries where inheritance and/or gifts are taxed through other taxes

Country	From	To	Note
Albania	1913	2023	Inheritance tax is implemented through taxation on income.
Azerbaijan	2006	2025	Azerbaijan taxes inheritances and gifts through the personal income tax, with full exemption for family members.
Botswana	2006	2023	In Botswana, the Capital Transfer Tax (CTT) is a tax levied on the transfer of assets through inheritance, donations, or other gratuitous dispositions. The exemption of BWP 100,000 of inheritances and gifts is inferred for all other relationships except spouses as they are fully exempt. Moreover, the CTT consists of tax on lower amount + rate on excess. So, the schedule is (0,100000,300000,500000,_and_over), marginal rates are 2,3,4,5 and the tax on lower amount is (0,2000,8000,16000) following the same schedule and rates.
Canada	1972	2024	Capital gains tax implications arise from deemed dispositions of property at death or when property is gifted. These rules are uniformly applied, with specific deferrals and exceptions, particularly for spousal transfers and certain types of trusts.
Colombia	2006	2023	Capital gains are taxes at the fixed rate of 15%. The first 3250 UVT received from spouse or legal heirs (inferred as children and siblings) as a gift or inheritance is exempt from tax. According to law, in general inheritance and gifts are treated as non-recurring/occasional earnings, therefore, taxed under capital gain tax. Moreover, the first UVT 13,000 of urban and first UVT 6500 for rural real estate property received as a gift or inheritance by spouses and legal heirs is exempt from tax.
Costa Rica	2006	2023	Costa Rica does not have inheritance, gift, estate or succession taxes, but a tax on transfer of real property. By 2008, the rates are between 1 and 2% and divisions between spouses and joint owners are not taxable.
Czechia	2014	2024	As of January 1, 2014, gift tax is included in the income tax. Gifts and other income received without consideration are exempt from personal income tax if they come from a first- or second-degree relative (e. \u\1. sibling, uncle, aunt, nephew, niece, spouse, stepchild, stepparent) or from someone with whom the taxpayer lived and shared household responsibilities for at least one year prior. Additionally, income up to CZK 50,000 per year from casual sources is exempt.
El Salvador	2006	2023	El Salvador does not impose separate estate or gift taxes. However, estates may be taxed as ordinary taxpayers if they derive income before the assets are distributed to the beneficiaries.
Georgia	2006	2023	Georgia does not impose inheritance and gift tax. However, both are subject to general income taxation. However, certain exemptions are applied.
Ghana	2016	2023	From 2016 to 2023, gifts are taxed as part of employment, business or investment income.
Guatemala	2006	2023	It is inferred that VAT 12% is levied on everybody for inter vivos gifts.
Haiti	2004	2008	As of 2004 and 2008 a stamp tax at rate 1-8% depending on type of property and relationship between parts applied. Stamp tax rate for inter-vivos transfers ranged from 2%-9% depending on the nature of the relationship of parties.
Iceland	2006	2025	Gifts and donations are subject to income tax. Resident donees pay gift tax.

Table 1.2: Countries where inheritance and/or gifts are taxed through other taxes *(continued)*

Country	From	To	Note
India	2004	2025	Gift tax is treated as part of income tax starting 2004. The donor is not taxed, but the recipient may be taxed on gifts depending on the value and the relationship to the donor. The first 50,000INR are exempt.
Indonesia	2013	2024	Indonesian Income tax law says that gifts from parents to children directly (or vice versa) and gifts received by religious, social, educational and other organizations who carry on small scale enterprise in which there is no relationship among parties concerned are not taxable and rest are taxed accordance to Income tax law (Gift Grant Tax).
Israel	2006	2023	Israel does not impose inheritance or gift taxes. Normally transfers by inheritance or gifts are subject to capital gain tax or land appreciation tax.
Jamaica	2006	2023	Jamaica has no estate tax but there is a transfer tax on the transfer of land and shares in a jamican company on transfer by death. The exemption is J$ 100,000 (2006 to 2018) and J$ 10,000,000 (2019-2023). The transfer tax is 1. 5%, 4%, 5%, 7. 5%,% for (2011-2023), 2010, 2009, and (2008- 2006) respectively.
Kosovo	2013	2023	Kosovo does not impose estate, inheritance, or gift taxes. However, gifts exceeding EUR 5,000 in a tax period are considered income and subject to income tax, therefore, different tax =1. Gifts between spouses, parents and children (in either direction) are exempt, regardless of value. Tuition payments made directly to recognized educational institutions are also tax-exempt, irrespective of the donor-recipient relationship.
Malta	2014	2024	In the absence of descendants, siblings (and their descendants) are also fully exempt. There is no gift tax in Malta. Nevertheless, from an income tax perspective, the definition of a transfer put forward by the Income Tax Act, Cap. 123 of the Laws of Malta (ITA) encompasses donations. Therefore, donations of chargeable assets, including immovable property, business, intellectual property, securities in companies, interest in a parthership and a beneficial interest in a trust fall within the purview of income tax on capital gains. In case of immovable property situated in Malta or any right thereon, the property transfer tax (PTT) would apply instead. Any deemed capital gains derived from a taxable donation would be amalgamated with the donors other income and brought to charge at progressive tax rates from 0% to 35%. The default rate of PTT is 8%, and it is levied on the transfer value of the immovable property.
Mexico	2013	2024	Gifts are taxed through personal income tax with full exemption for children and spouse according to Mexican Income Tax Law.
Nicaragua	2013	2023	Gifts and inheritances from Nicarguan sources are treated as capital gain and are subject to flat 15% tax. It is inferred that this 15% flat tax is for all categories.
Singapore	2012	2024	Formally, gift taxation operates through a Stamp Duty, which treats gifts as a conveyance or transfer on sale of any immovable properties. New rates are effective from 15 February 2023.
Thailand	2006	2015	Gifts other than made on limited occassions or ceremonials are taxed through ordinary income.

Table 1.2: Countries where inheritance and/or gifts are taxed through other taxes *(continued)*

Country	From	To	Note
Ukraine	2006	2024	According to Ukrainian law, a transfer of property either inherited or received as a gift is subject to personal income tax. Children, parents, spouse, grandchildren, grandparents and siblings are fully exempted, while for the others transfers are taxed at a 5% marginal rate.
Uruguay	2006	2023	Transfer of real estate by gift or estate is subject to 4% transfer tax, tax, except for inheritances from direct line of consanguinity, which is subject to a 3%transfer tax.
Viet Nam	2014	2025	Inheritances/gifts in excess of VND 10 million are subject to PIT at the rate of 10%. Spouse, children, and siblings are exempt.

In the cases in which a gift tax applies on a lifetime basis at the death of the donor (currently in the U.S., from 1822 to 1987 in Brazil), or is levied only on donations occurred in a specific range of years before the death of donor (7 years currently in the U.K., 3 years from 1962 to 1999 in Cyprus), we report that a gift tax is levied (`status` is 1) and provide the details in the Note.

1.2.2 Sources hierarchy

The EIG section version 2.0 provides a single source for each country-year-tax feature combination, selected according to hierarchical criteria among the available sources. When all sources agree, we rely on the source with more complete information on different tax features in a given year. When multiple sources agree on a given tax feature, we give priority to the source covering the longest period. If multiple sources agree on both features and time horizon, we give priority to official legislative sources. In the event of conflicts and inconsistencies between different sources, we report the information deemed most reliable because it is consistent with other information for the same country in different years, or because it is reported by more than one source, and we report the discrepancy in the Note.

As an example of conflict management, for the inheritance taxation of non-relatives in France between 1832 and 1900, [8] reports a flat rate of 9% from 1833 to 1849, and of 11.5% from 1850 to 1900, while [**GenschelSeelkopf2019**] report a flat rate of 5% for the same group from 1798 to 1900. Since [8] is a more detailed source, reporting the tax rate also for all the degrees of kinship, while [**GenschelSeelkopf2019**] only reports the top rate for non-relatives, we rely on [8] for the years of conflict. As a second example, for the estate tax in the U.K. in 2011, [3] reports a flat rate of 40% above an exemption of 325000 with no difference by kinship, and a similar configuration also for previous years (2006-2010). However, the [7] explicitly report full exemption for spouses (in force since 1975). Therefore, we separate spouses from the other degrees of kinship and report separate schedules.

1.2.3 The `varcode` in the Estate, Inheritance, and Gift Taxes Section

As described in the general warehouse structure section, the `varcode` uniquely identifies each value in the EIG section using five elements: the section, the sector, the type, the concept, and a bracket id. Hence, the `varcode` takes the following form:

$$\underbrace{x}_{\text{Section}} - \underbrace{BB}_{\text{Sector}} - \underbrace{CCC}_{\text{Variable Type}} - \underbrace{DDDDDD}_{\text{Concept}} - \underbrace{ZZ}_{\text{Section Specific}}$$

The first element is a 1-digit code that identifies the section of the GC Wealth Project, which for the case of the Estate, Inheritance, and Gift Taxes takes the value x. The sector element – BB – indicates the tax (first letter) and the group of individuals on which the tax is levied (second letter). The following three digits – CCC - refer to the nature of the variable, while the six digits DDDDDD represent the concept of interest. The last two digits – ZZ – allow to identify each specific tax bracket, when applicable.

1.2.4 `Sector`: type of tax and affected groups

The EIG sector is identified by a combination of two informative letters. The first letter indicates the type of tax: `e` stands for estate, `i` for inheritance, and `g` for gift tax. We use `t` as the first letter as *transfer* to denote general wealth transfers, applicable to total EIG tax revenues only (e.g. resulting from the sum of revenues of all inheritance, estate, and gift taxes applicable in a given country). The second letter denotes the population group subject to taxation: `e` for everyone (indicating the tax affects everyone regardless of kinship); `c` for children (meaning the tax is levied on the children of the donor/decedent); `s` for spouse; `l` for siblings; `r` for relatives different from children, spouse and siblings; `n` for non-relatives. Table 1.3 provides more details of the classification used for parental kinship (e.g. parents and grandparents are included in the `c` category). When the source does not report to which degree of kinship a specific tax schedule applies, the second letter is `u` for *unknown*. Lastly, to refer to tax revenues, which do not belong to any specific group, we use `g` for *general* as second letter.

Table 1.3 summarizes the sector combinations.

Table 1.3: EIG: Sector

Code	Label	Description
tg	EIG Tax, general government level	The tax revenue information refers to the sum of estate, inheritance and gift taxes (EIG) for the general government sector.
gg	Gift Tax, general government level	The tax revenue information refers to gift tax for the general government sector.
ec	Estate Tax for Children	Estate tax levied on children of the donor/decedent. The group also includes grandchildren, parents and grandparents, unless otherwise stated in the note.
es	Estate Tax for Spouse	Estate tax levied on the spouse of the donor/decedent. The group includes the legal cohabitant unless otherwise specified in the note.
el	Estate Tax for Siblings	Estate tax levied on the siblings of the donor/decedent. The group also includes children of siblings, unless otherwise stated in the note.
er	Estate Tax for Other Relatives	Estate tax levied on the relatives of the donor/decedent, excluding spouse, children, and siblings.
en	Estate Tax for Non-Relatives	Estate tax levied on individuals who are not related to the donor/decedent.
ee	Estate Tax for Everybody	Estate tax levied on anyone regardless of the degree of kinship or relationship to the deceased/donor. This sector is used also if the estate tax is not levied.
eu	Estate Tax, applies to unknown	The population group to which the estate tax applies is not known from the sources available.
ic	Inheritance Tax for Children	Inheritance tax levied on children of the donor/decedent. The group also includes grandchildren, parents and grandparents, unless otherwise stated in the note.
is	Inheritance Tax for Spouse	Inheritance tax levied on the spouse of the donor/decedent. The group includes the legal cohabitant unless otherwise specified in the note.

Table 1.3: EIG: Sector *(continued)*

Code	Label	Description
il	Inheritance Tax for Siblings	Inheritance tax levied on the siblings of the donor/decedent. The group also includes children of siblings, unless otherwise stated in the note.
ir	Inheritance Tax for Other Relatives	Inheritance tax levied on the relatives of the donor/decedent, excluding spouse, children, and siblings.
in	Inheritance Tax for Non-Relatives	Inheritance tax levied on individuals who are not related to the donor/decedent.
ie	Inheritance Tax for Everybody	Inheritance tax levied on anyone regardless of the degree of kinship or relationship to the deceased/donor. This sector is used also if the inheritance tax is not levied.
iu	Inheritance Tax, applies to unknown	The population group to which the inheritance tax applies is not known from the sources available.
gc	Gift Tax for Children	Gift tax levied on children of the donor/decedent. The group also includes grandchildren, parents and grandparents, unless otherwise stated in the note.
gs	Gift Tax for Spouse	Gift tax levied on the spouse of the donor/decedent. The group includes the legal cohabitant unless otherwise specified in the note.
gl	Gift Tax for Siblings	Gift tax levied on the siblings of the donor/decedent. The group also includes children of siblings, unless otherwise stated in the note.
gr	Gift Tax for Other Relatives	Gift tax levied on the relatives of the donor/decedent, excluding spouse, children, and siblings.
gn	Gift Tax for Non-Relatives	Gift tax levied on individuals who are not related to the donor/decedent.
ge	Gift Tax for Everybody	Gift tax levied on on anyone regardless of the degree of kinship or relationship to the deceased/donor. This sector is used also if the gift tax is not levied.
gu	Gift Tax, applies to unknown	The population group to which the gift tax applies is not known from the sources available.

1.2.5 `Variable Type`

Six types of variables are used within the EIG section. These are described in Table 1.4.

Table 1.4: EIG: Variable Type

Code	Label	Description
rat	Rate	In general, a rate is expressed as a percentage. For instance, the marginal inheritance tax rate is the amount of tax that is paid on an additional dollar of inheritance received. It represents the rate at which a person's tax liability increases as their inheritance increases. The concept can also be applied to the saving rate which refers to the percentage of disposable income that is saved or not spent on consumption.

Table 1.4: EIG: Variable Type *(continued)*

Code	Label	Description
rto	Ratio	A ratio describes the relationship between two quantities and is expressed as the quotient of one quantity divided by another. For example, if a country's total private net wealth is €10,000 billion and its total national income is €2,000 billion, the ratio of private wealth to national income is 5 to 1, as total private wealth is five times the amount of national income.
thr	Threshold	A threshold represents a minimum or maximum value that must be met or exceeded, for instance, the minimum value of net wealth that is needed for an individual to belong to the group of the richest 1% of adults, or the maximum value of net wealth that is needed for an individual to belong to the group of the poorest 50% of adults.
cat	Categorical Variable	A categorical variable represents data that can be divided into groups or categories.
tot	Total	It represents the total value of a variable. For instance, total population, or total revenue raised from the inheritance tax.
per	Period	Numeric values that refer to a period (year, month, quarter).

1.2.6 `Concept`: Variables

The next six letters indicating `Concept` encode the specific variables for this section (see Table 1.5 for details). These variables can refer to the status of a tax - whether it is levied or not, directly or indirectly through a different tax -, the characteristics of the tax (progressivity, top rate, exemption, full tax schedule), and the associated tax revenue information.

1.2.6.1 Tax status, and bracket-invariant concepts

The database contains nine bracket-invariant information related to a specific tax, namely the status (`status`), an indicator for whether the tax is not levied directly but rather through another tax (`different_tax`), the first year the tax has been levied in the country (`firsty`), the type of tax (`typtax`), the exemption threshold (`exempt`), the top marginal tax rate (`toprat`), the top marginal rate lower bound (`toplbo`), an indicator for whether the home residence is exempt from the tax (`homexe`), and an indicator for whether the family business is exempt from the tax (`bssexe`).

The binary variable `status` is used to indicate whether a country or region levies the transfer tax specified in the first digit of the sector code (estate, inheritance, or gift). Status can take either value 1 (Yes) or 0 (No).

Countries for which no data is available other than the tax revenue from the OECD are marked as not having an estate, inheritance, or gift tax if the OECD revenue statistics report zero revenues. These cases are marked as "Inferred from OECD" in their Source variable.

If wealth transfers are taxed through taxes different from proper EIG taxes (e.g. through either the capital or the personal income tax), we report that there is no EIG tax for the relevant wealth transfer – i.e. `status = 0` while `different_tax =1`, and the Note variable reports the corresponding additional details.

When possible, the data further include a variable indicating the first year for which the wealth transfer tax has been levied in a country or region (`firsty`). When the first year is available for a country, the series for that country starts from that year.

The variable `typtax` facilitates the users in recognizing whether a tax is lump-sum, flat, progressive, or progressive by brackets. The definition is based considering the number of brackets with positive marginal rates. If we do not observe the full schedule but a specific country-source clarifies the nature of tax under assessment i.e., flat, or progressive, we are able to fill the variable.

Tax exemptions (`exempt`) can vary in complexity and detail, and countries differ in how they offer reductions to the final tax bill (exemptions, deductions, rebates, credits, etc.). Unless differently specified, the exemption is considered as a reduction of the tax base. In case the exemption has a different nature (e.g., tax credit as in the case of the U.S. from 1977), the exemption variable and the tax schedule are adjusted accordingly and details of the adjustments are reported in the Note variable of metadata. If a tax is levied, but there is no exemption, the variable exempt takes value zero. It may also happen that the tax is levied, but with full exemption for a certain group (typically children or spouse); in this case, `exempt` will take value -997 (_and_over) for that group. The exemption is expressed in local currency units.

When a tax exists, the top tax rate `toprat` is the marginal tax rate on the last bracket and typically takes positive values, unless a full exemption exists (zero `toprat`). On the contrary, it takes value zero when tax is not levied. The same logic applies to the lower bound threshold above which the top rate for the specified tax applies (`toplbo`). The top rate lower bound is expressed in local currency units.

Finally, `homexe` and `bssexe` are new variables of version 2.0. They can take values 0 and 1, or -998 (_na) if the tax is not levied. They indicate, respectively, whether the family home (i.e. the habitual abode) and/or the family business is exempt from taxation. All the details of such exemptions, when available, are reported in the Note.

1.2.6.2 Tax revenues

Tax revenues correspond to the 4300 (total EIG taxes) and 4320 (gift tax only) series of tax revenues from the OECD Revenue Statistics Database of the Organisation for Economic Co-operation and Development (OECD) (downloaded on February 2026). Revenues are reported in three different concepts: `revenu`, for the EIG tax revenues in local currency units; `prorev` stands for EIG tax revenues in percentage of total tax revenues; `revgdp` for the EIG tax revenues in percentage of GDP. Revenues information are available since 1965 on for most of the included countries.

1.2.6.3 Tax schedules

When the full tax schedule is available, it is identified by a set of tax brackets. These are a combination of three concepts: adjusted lower bound (`adjlbo`), adjusted upper bound (`adjbo`), and adjusted marginal rates (`adjmrt`). Therefore, each bracket identifies the amount of transfer above the `adjlbo` and below the `adjubo` to which the `adjmrt` applies.

Each bracket corresponds to a single GEO-year-varcode combination and is identified by the last two digits of the varcode.

Unless the tax is proportional, the schedules are typically cumulative in structure, such that the rate in a bracket that corresponds to a wealth transfer value only applies to the proportion of the transfer that is greater than the highest amount in the previous bracket. That is, if the transfer amount exceeds the previous tax bracket by one currency unit, the higher tax rate (of the following bracket) only applies to one currency unit. This structure of the tax schedule is summarized in the variable `typtax`.

We adjust the schedules to make them more comparable across countries. In particular, we modify the statutory schedule of each country to include the exemption as a first tax bracket with a zero marginal rate. Furthermore, we convert the bounds of the brackets to the most recent local currency unit, and merge the brackets with the same marginal rate to obtain the effective number of brackets. It is important to note that if the country levies a tax but applies a full exemption for direct heirs, we then follow an "economic effectiveness" principle and adjust the status and the corresponding tax schedule to be equivalent to a no-tax scenario.

In the most common case in which the exemption is a reduction of the tax base, the adjustment consists in a shift of the tax brackets equivalent to the amount of the exemption. Differently, when the exemption is a tax credit, the adjustment consists in setting the amount of the tax credit as the new lower bound of the first bracket of the tax schedule and reporting zero marginal rate below it.

For instance, consider the U.S. federal estate tax: the statutory schedule contains a progressive schedule, but because the tax credit is so high (nearly 13 million USD as of 2023), every bracket but the last one is effectively within the tax credit range. Therefore (assuming no other deductions or credits apply), all amounts below (and many above) the last bracket would yield a final tax bill of zero. The result is a proportional tax rate that applies to relatively large estates of several million dollars[2].

All the concepts described above are summarized in the Table 1.5 here below.

Table 1.5: Estate, Inheritance, and Gift Tax Variable Definitions

Code	Label	Description
status	Tax Indicator	Whether or not the country levies the specified tax for the given year. It is encoded as a 0/1 indicator variable.
diftax	Different Tax Indicator	Whether the EIG tax is levied through another type of tax (e.g., PIT, capital income, etc.).
firsty	First Year for Tax	The first year the specified tax is introduced in the country. It may predate the year of legal birth of the country, such as in the case of unified kingdoms or of former colonies.
typtax	Type of Tax	The structure of the adjusted tax schedule, if applicable. The variable is encoded as follows: 1 lump-sum (fixed); 2 flat (proportional with a single rate applied to all tax base); 3 progressive (proportional with tax rates increasing with the tax base); 4 progressive by brackets (proportional with tax rates increasing with the tax base, with different portions of the tax base - brackets - taxed at different rates); -998 (_na) not applicable because the tax is not levied or there is full exemption. The type of tax is based on the number of positive tax rates included in the adjusted tax schedule.
exempt	Exemption Threshold	The exemption threshold in local currency units applicable to the sector, assuming no additional exemptions, credits or relief apply. It is reported as zero in case of no exemption, as -997 (_and_over) in case of full exemption (no tax is due), as -998 (_na) if it is not applicable because the tax is not levied.
toplbo	Top Marginal Rate Applicable From	The minimum amount in local currency units including and above which the top rate for the specified tax applies to the sector. It is encoded as zero in case the tax is not levied or there is full exemption.
toprat	Top Marginal Rate	The highest statutory rate for the specified tax. It is encoded as zero in case the tax is not levied or there is full exemption.
adjlbo	Lower Bound for Exemption-adjusted Tax Bracket	The value of tax base over which the tax rate applies in local currency units, adjusted to include the exemption amount in the tax schedule as a zero rate bracket, if needed.
adjubo	Upper Bound for Exemption-adjusted Tax Bracket	The highest tax base value for which the tax rate applies in local currency units, adjusted to include the exemption amount in the tax schedule as a zero rate bracket, if needed. It takes value -997 (_and_over) for the highest bracket if the interval is open.

[2] Note that this adjustment can affect also the variable `typtax`. For example, for the United States `typtax` is flat, although the statutory tax schedule is progressive

Table 1.5: Estate, Inheritance, and Gift Tax Variable Definitions
(continued)

Code	Label	Description
adjmrt	Marginal Rate for Exemption-adjusted Tax Bracket	The rate of taxation on tax base values between the bracket lower bound and the bracket upper bound, adjusted to include the exemption amount in the tax schedule as a zero rate bracket, if needed. It is reported as zero in case the tax is not levied and for the exemption bracket.
homexe	Family Home Exempt	Whether the family home (i.e. the habitual abode) is exempt from taxation. It takes value -998 if it is not applicable because the tax is not levied.
bssexe	Family Business Exempt	Whether the family business is exempt from taxation. It takes value -998 if it is not applicable because the tax is not levied.
revenu	Total Revenue from Tax	Total revenue from the specified tax at all government levels in local currency units.
prorev	Total Revenue from Tax as % of Total Tax Revenue	Total revenue from the specified tax at all government levels as a percentage of total tax revenue.
revgdp	Total Revenue from Tax as % of Gross Domestic Product	Total revenue from the specified tax at all government levels as a percentage of GDP.

1.2.7 `Section Specific`: Bracket Numbers

Finally, the last two letters in the `varcode` denote the section-specific variables, which for the EIG section refer to the tax bracket number when needed. Full tax schedule information will vary by tax bracket, while bracket-invariant information is reported for the bracket “00” as illustrated in the example in Table 1.7.

1.2.8 An illustrative example

An example is illustrated in Table 1.6, reporting the main tax schedule and revenue information for the estate tax in the case of the U.S. in 2023. The example allows to visualize that each combination of `GEO-year` and `varcode` identifies univocally the value corresponding to a given information specified by the `varcode`. To further clarify, the value 1 in first row corresponds to the `varcode x-ec-cat-status-00` that indicates the status of the estate tax applicable to children.

Table 1.6: Simplified Illustration of the estate tax schedule for the U.S. in 2023 in long format

GEO	GEO_long	year	varcode	value	source	longname	note
US	United States	2023	x-ec-cat-status-00	1	IBFD	Categorical Variable Tax Indicator, of the Estate Tax for Children sector (Non-Bracket Specific)	Since the US gift and estate tax are unified, gifts made during an individuals lifetime will reduce his or her estate tax exemption. According to IBFD source, the unified estate and gift tax is composed of "tax on lower amount+ rate% on the excess amount". The tax on lower amount is (0,1800, 3800, 8200, 13000, 18200, 23800, 38800, 70800, 155800, 248300, and 345800) following the mentioned schedules and marginals rates respectively for 2023.
US	United States	2023	x-ec-per-firsty-00	1898	IBFD	Period First Year for Tax, of the Estate Tax for Children sector (Non-Bracket Specific)	Since the US gift and estate tax are unified, gifts made during an individuals lifetime will reduce his or her estate tax exemption. According to IBFD source, the unified estate and gift tax is composed of "tax on lower amount+ rate% on the excess amount". The tax on lower amount is (0,1800, 3800, 8200, 13000, 18200, 23800, 38800, 70800, 155800, 248300, and 345800) following the mentioned schedules and marginals rates respectively for 2023.
US	United States	2023	x-ec-rat-adjmrt-01	0	IBFD	Rate Marginal Rate for Exemption-adjusted Tax Bracket, of the Estate Tax for Children sector (Bracket n 01)	Since the US gift and estate tax are unified, gifts made during an individuals lifetime will reduce his or her estate tax exemption. According to IBFD source, the unified estate and gift tax is composed of "tax on lower amount+ rate% on the excess amount". The tax on lower amount is (0,1800, 3800, 8200, 13000, 18200, 23800, 38800, 70800, 155800, 248300, and 345800) following the mentioned schedules and marginals rates respectively for 2023.
US	United States	2023	x-ec-rat-adjmrt-02	40	IBFD	Rate Marginal Rate for Exemption-adjusted Tax Bracket, of the Estate Tax for Children sector (Bracket n 02)	Since the US gift and estate tax are unified, gifts made during an individuals lifetime will reduce his or her estate tax exemption. According to IBFD source, the unified estate and gift tax is composed of "tax on lower amount+ rate% on the excess amount". The tax on lower amount is (0,1800, 3800, 8200, 13000, 18200, 23800, 38800, 70800, 155800, 248300, and 345800) following the mentioned schedules and marginals rates respectively for 2023.

Table 1.6: Simplified Illustration of the estate tax schedule for the U.S. in 2023 in long format *(continued)*

GEO	GEO_long	year	varcode	value	source	longname	note
US	United States	2023	x-ec-rat-toprat-00	40	IBFD	Rate Top Marginal Rate, of the Estate Tax for Children sector (Non-Bracket Specific)	Since the US gift and estate tax are unified, gifts made during an individuals lifetime will reduce his or her estate tax exemption. According to IBFD source, the unified estate and gift tax is composed of "tax on lower amount+ rate% on the excess amount". The tax on lower amount is (0,1800, 3800, 8200, 13000, 18200, 23800, 38800, 70800, 155800, 248300, and 345800) following the mentioned schedules and marginals rates respectively for 2023.
US	United States	2023	x-ec-thr-adjlbo-01	0	IBFD	Threshold Lower Bound for Exemption-adjusted Tax Bracket, of the Estate Tax for Children sector (Bracket n 01)	Since the US gift and estate tax are unified, gifts made during an individuals lifetime will reduce his or her estate tax exemption. According to IBFD source, the unified estate and gift tax is composed of "tax on lower amount+ rate% on the excess amount". The tax on lower amount is (0,1800, 3800, 8200, 13000, 18200, 23800, 38800, 70800, 155800, 248300, and 345800) following the mentioned schedules and marginals rates respectively for 2023.
US	United States	2023	x-ec-thr-adjlbo-02	1.29200e+07	IBFD	Threshold Lower Bound for Exemption-adjusted Tax Bracket, of the Estate Tax for Children sector (Bracket n 02)	Since the US gift and estate tax are unified, gifts made during an individuals lifetime will reduce his or her estate tax exemption. According to IBFD source, the unified estate and gift tax is composed of "tax on lower amount+ rate% on the excess amount". The tax on lower amount is (0,1800, 3800, 8200, 13000, 18200, 23800, 38800, 70800, 155800, 248300, and 345800) following the mentioned schedules and marginals rates respectively for 2023.
US	United States	2023	x-ec-thr-adjubo-01	1.29200e+07	IBFD	Threshold Upper Bound for Exemption-adjusted Tax Bracket, of the Estate Tax for Children sector (Bracket n 01)	Since the US gift and estate tax are unified, gifts made during an individuals lifetime will reduce his or her estate tax exemption. According to IBFD source, the unified estate and gift tax is composed of "tax on lower amount+ rate% on the excess amount". The tax on lower amount is (0,1800, 3800, 8200, 13000, 18200, 23800, 38800, 70800, 155800, 248300, and 345800) following the mentioned schedules and marginals rates respectively for 2023.

Table 1.6: Simplified Illustration of the estate tax schedule for the U.S. in 2023 in long format *(continued)*

GEO	GEO_long	year	varcode	value	source	longname	note
US	United States	2023	x-ec-thr-adjubo-02	-997	IBFD	Threshold Upper Bound for Exemption-adjusted Tax Bracket, of the Estate Tax for Children sector (Bracket n 02)	Since the US gift and estate tax are unified, gifts made during an individuals lifetime will reduce his or her estate tax exemption. According to IBFD source, the unified estate and gift tax is composed of ”tax on lower amount+ rate% on the excess amount”. The tax on lower amount is (0,1800, 3800, 8200, 13000, 18200, 23800, 38800, 70800, 155800, 248300, and 345800) following the mentioned schedules and marginals rates respectively for 2023.
US	United States	2023	x-ec-thr-exempt-00	1.29200e+07	IBFD	Threshold Exemption Threshold, of the Estate Tax for Children sector (Non-Bracket Specific)	Since the US gift and estate tax are unified, gifts made during an individuals lifetime will reduce his or her estate tax exemption. According to IBFD source, the unified estate and gift tax is composed of ”tax on lower amount+ rate% on the excess amount”. The tax on lower amount is (0,1800, 3800, 8200, 13000, 18200, 23800, 38800, 70800, 155800, 248300, and 345800) following the mentioned schedules and marginals rates respectively for 2023.
US	United States	2023	x-tg-rto-prorev-00	0.56	OECD_Rev	Ratio Total Revenue from Tax as % of Total Tax Revenue, of the EIG Tax, general government level sector (Non-Bracket Specific)	-
US	United States	2023	x-tg-rto-revgdp-00	0.14	OECD_Rev	Ratio Total Revenue from Tax as % of Gross Domestic Product, of the EIG Tax, general government level sector (Non-Bracket Specific)	-
US	United States	2023	x-tg-tot-revenu-00	3.88890e+10	OECD_Rev	Total Total Revenue from Tax, of the EIG Tax, general government level sector (Non-Bracket Specific)	-

To ease the users' understanding of the structure of the data, we also provide in Table 1.7 below a wide format transformation of the U.S. 2023 example. The wide transformation is particularly helpful to better understand and visualize the tax schedule of each country-year. In Table 1.7 we have the same information of the long format, but each column-title is the content of the `varcode`. In this case, we have an estate tax with two effective tax brackets. The first bracket ranges between 0 and 12.9 million of dollars - the exemption level -, with a corresponding 0 marginal tax rate. The second bracket ranges from one dollar above the exemption threshold and over, with a marginal tax rate of 40%, which is the top marginal tax rate (`toprat`). Revenues information are available in the last three columns: `prorev`, `revgdp`, `revenu`. For example, the total revenues collected from the estate tax in 2023 is around 39 billion of dollars, corresponding to around 0.56% of the total revenues collected by the U.S. in 2023, and to 0.14% of the U.S. GDP in the year.

Table 1.7: Simplified Illustration of the estate tax schedule for the U.S. in 2023 in wide format

GEO	year	bracket	firsty	status	exempt	toprat	adjlbo	adjubo	adjmrt	revenu	prorev	revgdp
US	2023	0	1898	1	1.29200e+07	40	-	-	-	3.88890e+10	0.56	0.14
US	2023	1	-	-	-	-	0	1.29200e+07	0	-	-	-
US	2023	2	-	-	-	-	1.29200e+07	-997	40	-	-	-

1.3 Regional Information

Regional information for the United States - state-specific tax schedules - is directly available in the data from 2006. However, also other countries have regional taxation schemes; while we do not include them in the warehouse, we report the information in the Note variable and highlight below the main relevant cases of regional schemes.

Belgium:

Belgium does not levy EIG taxes at national level since 1989 [6], but the three regions - Flemish, Walloon, Bruxelles-Capital – can set their own taxes. Therefore, the data display a national EIG tax status equals to "0" (No) since 1989. Each region levies inheritance and gift taxes applying different rates. For example, taking the first child beneficiary as reference, the inheritance tax rate ranges between 3 and 30% in Bruxelles-Capital and Walloon regions; in Flemish region it ranges between 3 and 27%.

Brazil:

According to Carvalho Junior [1], and Tax Introduction Database [**GenschelSeelkopf2019**], Brazil levies EIG taxes at state level since 1934. The act 27 of 1966 amended the tax law of 1965 (an Emenda Constitucional nº 18/1965) setting a federal level maximum top rate for gifts and inheritances to 2%. This maximum top rate was raised in 1988 to 8%. Therefore for Brazil the data display a national EIG tax status always equals to "0" (No).

Bulgaria:

In Bulgaria, the Law 117 of December 10, 1997 established that inheritance and gift taxes are levied at municipality level. Therefore, there has been no national EIG taxation since 1998.

Spain:

EIG tax is a national tax in Spain, but there might be important differences between regions in terms of tax rates, reductions, and other benefits that significantly reduce the tax burden. Because of this, effective inheritance taxation is much higher under national law than under regional regimes. Furthermore, the autonomous regions of Navarre and Basque Country have a wide right to self-regulate gift and inheritance taxes. Taxation in these regions is significantly different from the national Spanish tax laws. We report the information on national taxation, but we include in the Note the available regional details.

Switzerland:

In Switzerland, the cantons have an exclusive right to set their own gift and inheritance taxes. According to EY [4, 2], the canton tax system has been applied since 2006. However, from 1973 to 2005, the EIG tax revenues are gathered at regional and local level according to the OECD Revenue data [5]. Therefore, we assume that the taxation was at the canton level even before 2006. The status for the national EIG taxation has been set to "0" (No) since 1973.

United States:

The data also include regional-level tax information for all U.S. states. Varcodes and variables for the regional level adhere to the database structure outlined above. In particular, GEO and GEO_long codes include the federal code/name followed by the state code/name, separated by a comma.

We note some important conceptual differences for the interpretation of the regional information with respect to the national data. First, the `status` variable refers to the state-level, irrespective of federal taxes that also apply within state boundaries. Thus, if a given state indicates `status` = 0, the tax in the state can still be subject to the federal estate tax, if it applies. On the contrary, adjusted tax schedule variables combine full tax schedule information of federal- and state-level taxes. That is, EIG taxes levied by the state can provide adjustments of the statutory schedule depending on interactions with the federal tax. Thus, our state-level adjusted schedules take the joint structure of taxes at both levels into account in order to arrive at brackets amounts and marginal rates that are readily comparable across states within the U.S.

It may happen that a single U.S. state applies an inheritance tax. Since the federal tax is an estate tax, the interaction of the two schemes requires the assumption that the inheritance is received by a single direct descendant without siblings. For this reason, regional data for the U.S. are available only for the `children` group. Lastly, state and federal tax interactions can lead to marginal tax structures with spikes within the tax bracket structure. Put differently, the highest tax rate in an adjusted schedule might not be the last bracket, and inheritances above that bracket will be subject to lower rates. In such cases, the top marginal tax rate still refers to the last bracket in the tax schedule rather than to the highest tax rate for consistency with the definition of the `toprat` and `toplbo` concepts.

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